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DATA AS OF 22 SEPTEMBER 2026

NYSE: ONON · FOOTWEAR AND SPORTSWEAR

Financial Analysis

On Holding AG

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THE QUESTION

Can On’s promises still be trusted, and what was the market paying for them?

On has beaten its own targets almost every year since its 2021 IPO. In 2026, growth slowed and management cut a sales target for the first time.

THESIS

Management guides prudently, but its 2029 plan rests on the one thing it has not proven yet: costs growing slower than sales, seen only in FY2025. I trust the sales and gross margin targets, and half of the cost target.

Key figures

SG&A / NET SALES, FY2025

50.3%

vs 39.2% Asics and 34.6% Deckers. The number the thesis hangs on.

GROWTH FY2025, CC

35.6%

vs 19.4% Asics, 9.0% Deckers

TARGETS MET OR BEATEN

11 / 11

FY2022–FY2025, 8 beaten

ADJ. EBITDA MARGIN 2029

20.9%

my central case, vs 22%+ target

EV / EBIT, CURRENT YEAR

14.4x

same as Asics, 7.5x Deckers

CC = CONSTANT CURRENCY · SOURCES: COMPANY FILINGS; MODEL

Business model and sales mix, FY2025

WHERE EACH CHF 100 OF SALES WENT, FY2025



Gross margin of 62.8%, the best of its peers. Production is outsourced, about 90% of footwear in Vietnam.

58.2%
of sales via wholesale partners

41.8%
direct to consumer, +39.9% cc

+106.7%
Asia-Pacific growth, cc

93.0%
of sales from footwear

SOURCE: ON FORM 20-F FY2025, ITEMS 4.B AND 5.A · MODEL, TAB INCOME STATEMENT

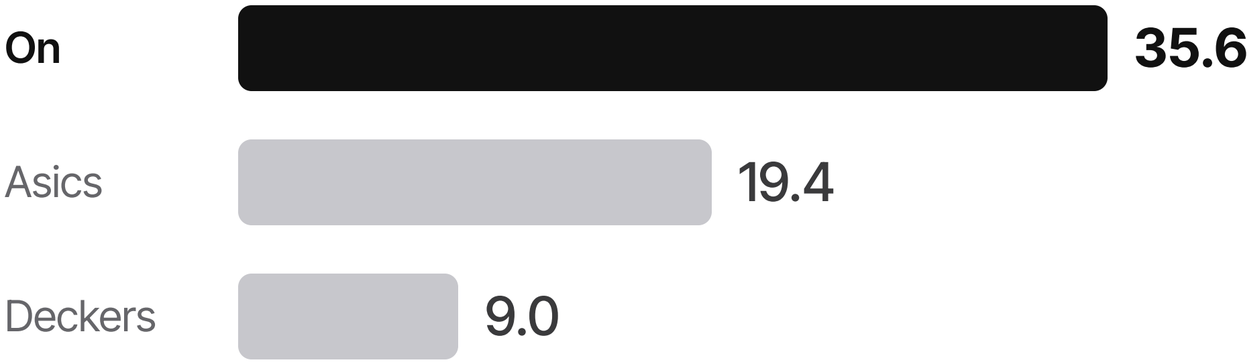
Sales growth compared with peers

At constant currency in FY2025, On grew almost twice as fast as Asics and four times as fast as Deckers.

Asia-Pacific (+106.7%) and direct sales (+39.9%) led the way.

In francs: 30.0%. The franc took 5.6 points.

NET SALES GROWTH, CONSTANT CURRENCY, FY2025, %

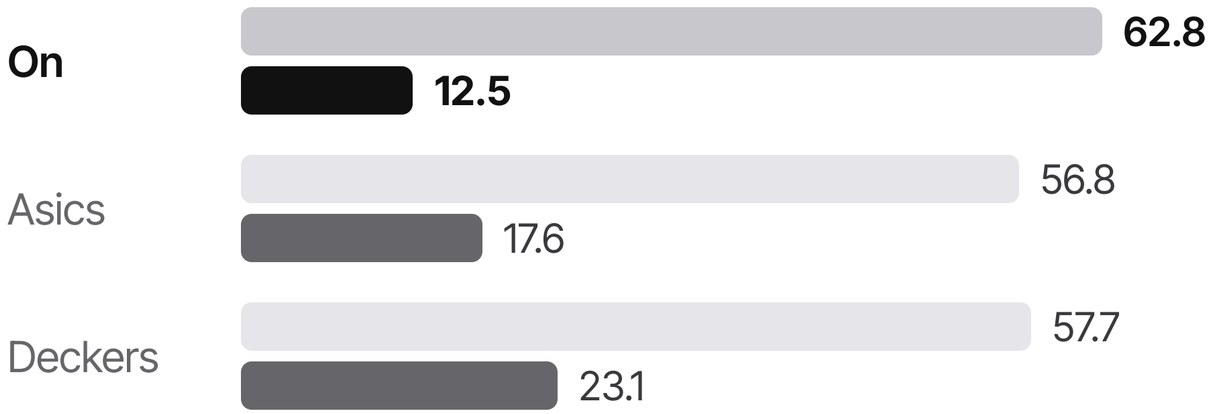


The lead is narrowing: in H1 2026, Asics grew 22.0% cc against 24.0% for On.

DECKERS: FISCAL YEAR TO MARCH 2026 · SOURCES: 20-F FY2025; 10-K FY2026; ASICS SUMMARY FY2025

Margins compared with peers, FY2025

FY2025, % OF NET SALES · LIGHT = GROSS MARGIN · DARK = EBIT MARGIN



SG&A / NET SALES

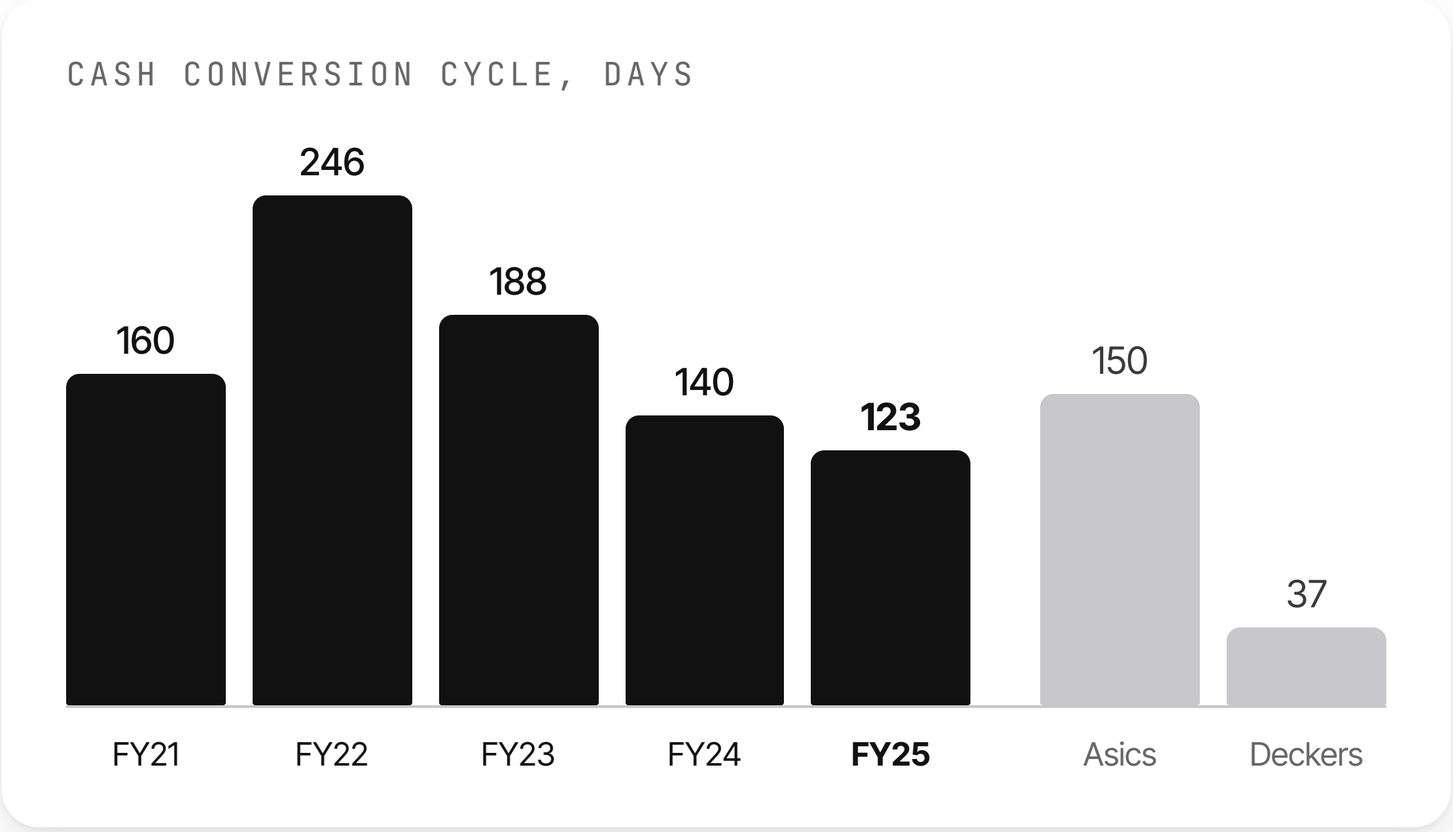
50.3%

vs 39.2% Asics, 34.6% Deckers

Asics shows leverage exists: its SG&A fell from 42.5% to 39.2% of sales in two years, and its EBIT margin rose from 9.5% to 17.6%.

SOURCES: ON 20-F FY2025 P. F-4; DECKERS 10-K FY2026 P. F-6; ASICS SUMMARY FY2025 P. 14

Cash generation and working capital



93.8%

of EBIT turned into free cash flow, FY2023–FY2025 (Deckers 89.0%, Asics 62.9%)

33.1%

ROCE in FY2025, up from 14.0% in FY2022

498.4

CHF m of net cash after leases, no bank debt

YEAR-END BALANCES · PEERS FY2025 · SOURCE: MODEL, TABS RATIOS AND PEERS

Guidance track record

I read each year's first guidance as the budget, each revision as the reforecast, the result as the actual: 61 statements over five cycles.

Verdict: prudent

Margin beats are mostly reinvested. And in August 2026, On cut a sales target for the first time.

ANNUAL TARGETS 2022–2025 · BEATEN 8 · IN LINE 3 · MISSED 0



Dark = beaten · grey = in line (±1% of sales, ±0.5 pp of margin)

RAISED : LOWERED

18 : 2

In-year revisions, 2022–2025

LARGEST BEAT

+23.4%

FY2022 net sales vs initial target

Key risks

PwC's only critical audit matter is leases (CHF 521.5 million, +50.0% in a year). Its materiality, CHF 28.0 million, sizes each risk.

PROBABILITY HIGH · IMPACT HIGH

1. SG&A leverage never shows

50.3% of sales; each point is worth CHF 30.1 million, above materiality.

PROBABILITY MEDIUM · IMPACT HIGH

2. Wholesale and one big customer

Wholesale is 58.2% of sales; one customer reached 11.0%, about 12 times materiality.

PROBABILITY MEDIUM · IMPACT MEDIUM

3. Vietnam and US tariffs

About 90% of footwear is made in Vietnam; the US is 51.4% of sales and taxes Vietnamese goods at 20%.

PROBABILITY LOW · IMPACT HIGH

4. Internal control under growth

A material weakness until 2022, fixed in 2023; since then sales went from CHF 1,792.1 to 3,014.0 million.

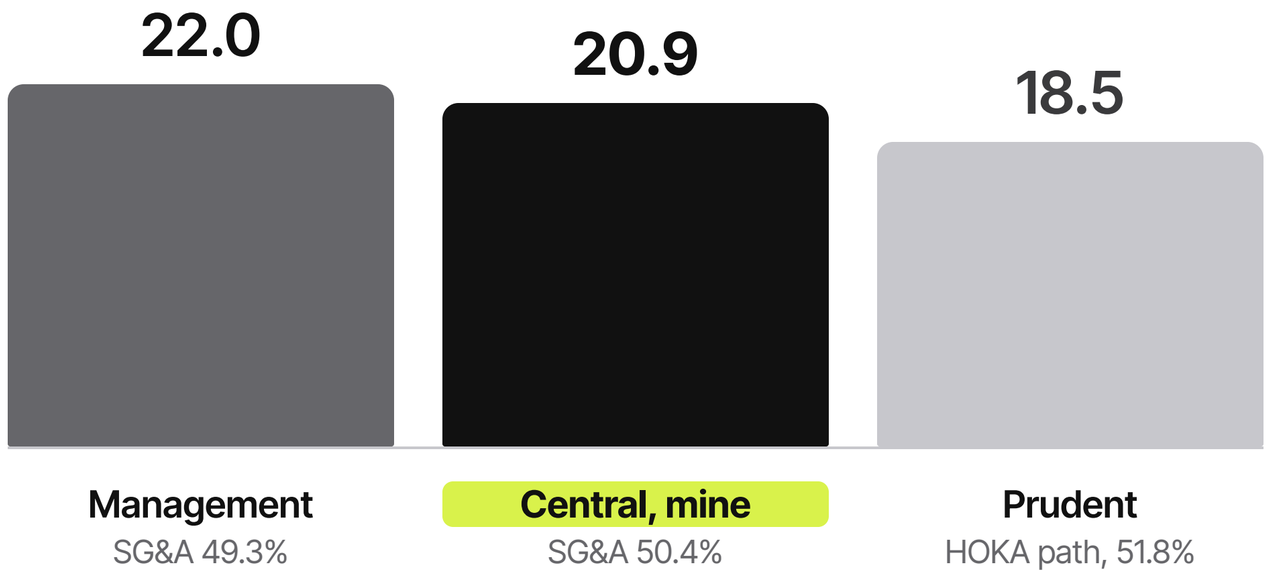
PROBABILITIES AND IMPACTS: MY ASSESSMENT · SOURCES: 20-F FY2022–FY2025; SWISS ANNUAL REPORT FY2025

Outlook to 2029: three scenarios

Three drivers only: growth at constant currency, gross margin, SG&A as a share of sales.

My central case keeps management's high-teens growth (17% in my model) and 65.0% gross margin, but grants only half of the SG&A leverage it promises.

ADJUSTED EBITDA MARGIN IN 2029, % · FY2025 ACTUAL: 18.8



Valuation multiples compared with peers

ON	ASICS	DECKERS
14.4x	14.4x	7.5x
EV / EBIT	EV / EBIT	EV / EBIT

Each company on its own current-year guidance. On’s premium over Deckers is justified by growth. Against Asics there is no premium left, and that is fair: Asics grows almost as fast with a higher margin.

On’s enterprise value was only **8.3 times** my 2029 EBIT.

WHAT WOULD CHANGE MY MIND

Constant currency growth below 15% for two quarters in a row.

SG&A excluding share-based compensation still rising as a share of sales in 2027.

Either would put On on the HOKA path.

NOT INVESTMENT ADVICE, NO PRICE TARGET · ASICS PRICE OF 18 SEP 2026 · SOURCE: MODEL, TAB FORECAST

06 · METHOD

Made with AI

210 CHECKS

61 GUIDANCE STATEMENTS

WHY I DID THIS

To learn. I am aiming for corporate finance, management control or audit. I wanted to face that work on a real company and its real filings, and to learn how AI can be used in finance.

WHAT I DID

I structured the project and set its goals, then made the calls: the company, the angle, the method, the credibility verdict, the scenarios and the prognosis. I steered the AI, questioned its answers and reviewed every text.

WHAT CLAUDE DID

Claude proposed the plan, collected the data, built the model, the note and this deck, and helped me interpret the results. It also acted as a tutor: it explained what I had not yet covered in class and pointed me to methods I did not know.

Checks: every figure re-read in its source document by script, every calculation recomputed by a second script, and the finished work re-checked by a second AI agent.

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